TOPIC 4 · ECONOMIC POLICIES AND MANAGEMENT

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Could government spending cuts do the RBA's job?

> With a fifth rate rise for the year expected, economists and politicians are debating whether the budget should do more of the work of bringing inflation down.

WHAT HAPPENED

- **Rule of thumb:** Chris Richardson estimates $7–10 billion a year in spending cuts would have about the same effect as one rate rise.
- **Targeting:** budget cuts can be aimed at particular programs, while rate rises fall mainly on borrowers.
- **Politics:** cuts are hard to make, and pressure for cost-of-living relief adds to demand. The Opposition has named the home battery program and the EV discount as possible cuts.
- **RBA view:** inflation reflects the Middle East war, an AI investment boom and an economy above capacity.

BY THE NUMBERS

$7–10bn
Annual cuts equal to one rate rise

4.60%
Cash rate before today's decision

4.85%
Cash rate if hike is delivered

>$10bn
Fuel tax credits a year

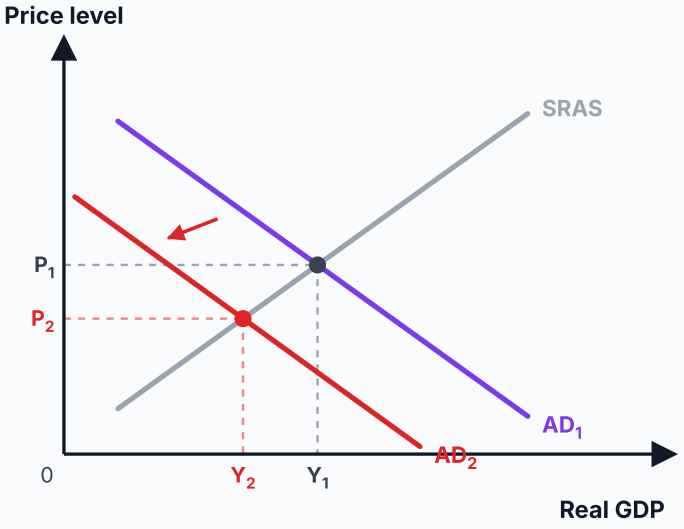
KEY TERMS

Fiscal policy: Using government spending and taxation to influence the economy.

Contractionary policy: Settings that reduce aggregate demand.

Policy mix: The combination of fiscal and monetary policy settings.

DIAGRAM Contractionary fiscal policy



Cutting government spending (G) reduces aggregate demand from **AD_1 to AD_2**. The price level falls from P_1 to P_2, easing inflation, but real GDP falls from Y_1 to Y_2. If the budget does more, the RBA may need to do less.

Diagram is illustrative, not to scale.

Exam angle: Evaluate both arms: fiscal policy is **targeted but slow and political**, while monetary policy is **flexible but blunt**.

FLOW CHART The chain of cause and effect

Govt cuts spending → Aggregate demand falls → Inflation eases → **Less need for rate rises**

SYLLABUS LINK

Topic 4 – fiscal policy stance and its interaction with monetary policy (the policy mix).

TRY THIS

Evaluate the effectiveness of contractionary fiscal policy, compared with monetary policy, in reducing inflation. **(6 marks)**

Sources: ABC News – Could government spending cuts help fight inflation?, 2 Nov 2026 – https://www.abc.net.au/news/2026-11-02/government-spending-cuts-to-control-inflation-explained/10733784 6 · ABC News – Federal politics live blog, 2 Nov 2026 – https://www.abc.net.au/news/2026-11-02/federal-politics-live-blog-albanese-chogm-nov-2/107334912